Centre's Discretionary Expenditure is Less than Half Its Budgeted Expenditure

More than half of India's budgeted expenditure is of a non-discretionary or mandatory nature. The Central government has virtually no discretion or control to reduce or enhance it to deal with the economic cycle or effect better redistribution.

Such non-policy and non-discretionary expenditures include four broad types of expenditures in Budget 2020–21: salaries, pensions and the rest of establishment expenditure (Rs 6.10 lakh crore); interest payments on debt and other fiscal liabilities of the government (Rs 7.08 lakh crore); grants to the states mandated by the Finance Commission, including disaster-relief and local bodies grants (Rs 1.50 lakh crore); and GST compensation (Rs 1.35 lakh crore). These four items added up to Rs 16.03 lakh crore in Budget 2020–21, which was 52.69 per cent of total budgeted expenditures of Rs 30.4 lakh crore.

A good part of such non-policy or mandatory type of expenditure is outrightly unproductive as well. Of Rs 30.42 lakh crore of Budget expenditure in 2020–21, as much as Rs 9.03 lakh crore (30 per cent) is unproductive in nature and therefore does not serve any public purpose in the present. Such unproductive expenditures included provision for interest payments (Rs 7.08 lakh crore) and pensions (Rs 1.34 lakh crore defence pension and Rs 0.61 lakh crore civilian pension).

Total outlays of Rs 14.39 lakh crore (47.31 per cent) in Budget 2020–21, intended to be spent on four kinds of development and non-development schemes and services, was in control of the Central government and thus could be considered discretionary expenditure of the Centre that could be spent on the three broad policy-based expenditures in the year 2020–21 (public services, growth and redistribution).

First, the central-sector schemes directly implemented by the ministries and departments of the Central government (Rs 8.31 lakh crore in Budget